

Global growth is resilient as headwinds intensify

送信者: EG Geoeconomics 受信日時: 2026-09-23 19:54

【メール原文】

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Practice Letter

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Global growth is resilient, but headwinds are intensifying

23 Sep 2026 06:49 EDT Discover more on the Portal

This is the latest in a series of periodic letters to clients in which Eurasia Group's practices present their views on forthcoming political and macro developments for their regions or sectors.

Dear clients,

Despite the political and economic volatility of the last few weeks, our basecase remains one of resilient demand and trade growth, but also of persistent upside risks to long-term government bond yields.

It is essentially a tug-of-war between, on one side, the growth and inflation impact of negative global supply shocks, tightening monetary policy, and rising global government bond yields; and on the other, persistent demand strength and high risky asset prices (at 45% probability, down from 55%). That said, risks are building, and on balance, downside risks (30%, up from 25%) outweigh the upside (25%, up from 20%). For comparison, the consensus for recession risks among economists remains stable at around 20%. See scenario chart at the end of the note.

Downside risks to growth and upside risks to inflation and bond yields

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Conflict impacts are likely to be longer-lasting. Eurasia Group's outlook for the conflicts in the MENA region and in Russia and Ukraine points to continued high prices of oil, oil distillates, and gas. The odds of conflict resolution are low this year, with only 15% odds of a limited US-Iran deal, 10% odds of a Saudi-Houthi deal, and 10% odds of serious Russia-Ukraine ceasefire talks; we have noted that the risk of a further flare-up in the conflicts threatens to drive up transport and logistics costs. We have also emphasized that the resilience observed thus far will have limits, as inventories are drawn down and capacity is stretched. Elevated energy prices are a direct risk to growth and inflation; that initial shock can trigger second-round effects as wages and prices respond, and further amplified by additional, persistent cost pressures. While it is hard to judge whether investor positioning reflects these risks, it is certainly clear that they have intensified; our calls for continued conflicts with significant risk of escalation, plus the prospect of lasting economic effects, suggest that the chance of rapid normalization is fading.

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Central banks are set to tighten further than we anticipated. Last week's rate increases mark the start of a meaningful tightening cycle, even if investors' reassessment of the likely policy path may have gone too far. Such tightening, combined with higher longer-term bond yields, will quell the interest-sensitive part of demand, including consumption; fading fiscal support in developed markets is pulling in the same direction. However, the tightening will have a limited impact on the minimum required returns that determine corporate investment; tighter monetary policy will not slow AI-related investment. Nor is it, at this point, likely to materially weaken risky asset prices.

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No obvious downside risks to long-bond yields have emerged. We continue to see sustained government deficits and rising capital demand for investment spending as the principal drivers of higher long-term real and nominal yields. The rise in real yields suggests that future fiscal risks are a material contributing factor; relatively stable long-term inflation expectations suggest that long-term inflation risk is only a modest component. These risks are persistent, and the current shock, if anything, amplifies them.

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Intervention is unlikely to work. Absent significantly tighter fiscal policy or a sharp retrenchment in investment demand—which, in our view, would require recession dynamics—it is hard to see long-term interest rates falling substantially. We have argued that these fundamentals will dominate any policy interventions aimed at lowering yields; Treasury Secretary Scott Bessent's interventions have more impact on his credibility and political capital than on markets.

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Trade uncertainty is on the rise. The outlook is, however, more certain than a year ago, and the much-feared deterioration in the global trade environment did not materialize: trade was redirected, but did not decline, in part because of the sustained support from strong investment and AI-related demand. While the rebuilding of the US tariff wall has not been a critical market driver, the increasing global trade noise is worth noting: the US-Canada trade conflict is indicative of continued US trade policy risks; continued transshipment concerns might invite further US trade intervention; and China and the EU are set for managed trade confrontation. While not representing an immediate risk of a sharp growth adjustment, tariffs will likely be a drag on trade and activity.

Strong investment demand and broader economic resilience

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AI investment is likely to be sustained. The AI investment surge and the associated financing leave ample room for a significant adjustment in investment volume and valuation if AI-related revenue growth proves disappointing. That, in turn, could tighten financial conditions in the sector. That said, the immediate risk of an abrupt downturn is likely limited, with financial conditions remaining supportive of sustained investment levels and firms continuing to commit capital. Arguably, the AI-related investment surge has broadened. The investment surge also points to strong capital demand and higher real interest rates ahead.

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Corporate sector resilience may have been greater than in the past. We may have underestimated how much reduced energy intensity in production—and the growing contribution of renewables—have enhanced the flexibility and resilience of energy supply compared with prior energy shocks. Firms may also have meaningfully improved supply chain resilience and, more broadly, risk management. After years of supply chain shocks, companies operating in an increasingly geopolitically volatile environment have made some concrete operational changes. Buffers may be getting thinner amid prolonged conflicts, but continued investment in resilience at the corporate and sovereign levels, combined with increased defense spending, is a tailwind for demand.

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Consumption growth has been resilient despite higher inflation, interest rates, and elevated uncertainty. Consumption has not been a driver of demand growth, but with steady real income growth and employment, the negative global shocks of the last 18 months have failed to make a significant dent in consumption levels. There is evidence that consumption growth is lopsided, particularly in the US, with those on higher incomes driving growth; that would explain continued dissatisfaction with economic outcomes, despite steady GDP growth.

Our basecase remains steady growth, but risks are rising

EU growth has held up better than feared earlier in the energy crisis, though it has been slower than in the US and the outlook remains subpar. Chinese growth is slowing, and Beijing's focus on exports and investment means overcapacity will continue; the spillover to global growth has been limited even if the impact on specific sectors has been marked. Much of Latin America appears well-positioned to withstand the new geopolitical order with its commodity exports, high real interest rates, and a more business-friendly shift in recent elections. Asian energy importers are exposed to a continuation of the Iran war, though buoyant exports have helped offset headwinds across Taiwan, South Korea, and much of ASEAN.

On balance, we continue to see resilient growth as the basecase, underpinned by continued demand and trade expansion. The downside risks appear to be intensifying, reflecting escalating geopolitical and trade conflicts, a more aggressive monetary policy tightening cycle, and structurally higher long-term bond yields.

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